

UPST pitch deck

Both file reads were permission-denied in this session, so I can't inspect the sibling decks or write the file to `desk/reports/` — I'm delivering the full deck text here, built strictly from the evidence pack and the two bench records. One consequence flagged at the end: the standing ledger/dashboard closing step needs the runner (or a shell-enabled session) to execute, since this session has no write/shell access.

PITCH — UPST — PROPOSED VERDICT (one line)

PROPOSED — PENDING ADJUDICATION: BUY a starter position in two halves — first half now near \$31, second half only if the September 3 borrower-health print improves (≤ 1.45) or an independent source confirms the company's funding-cost claims. Kill on two straight deteriorating borrower-health prints or August loan volume below \$45M/day.

What we believe

Upstart is an AI lending platform whose stock is down ~60% from its 52-week high (\$76.95 → \$31.09) even though the most recent quarter and the independent evidence we could find do not show the damage that fall implies. Specifically:

- **The credit the company originates is holding up by third-party measure.** KBRA — an independent rating agency — reviewed 13 Upstart securitization trusts in February 2026 and issued 7 upgrades, 14 affirmations, and only 1 downgrade ([KBRA surveillance report](#)). That one downgrade (a class facing majority principal loss) shows the bad-vintage tail is real, but the net picture from the only truly independent credit channel is positive.
- **Funding demand exists.** KBRA confirms the company priced its 51st loan-sale deal in 2026 (\$569.4M). The machine that turns loans into cash is running.
- **The feared balance-sheet tail is smaller and later than the bears claim.** The company's convertible notes have no maturity before October 2029, and their conversion prices (\$45.66, \$82.50, \$91.99) are 47–196% above today's stock price — so neither a forced refinancing nor conversion-driven dilution is a near-term event (confirmed in the Q2 [10-Q filed with the SEC](#)).
- **Heavy short interest (27% of shares, ~33% of the float) is fuel, not just a warning.** On a name where the independent credit evidence is net-positive, a crowded short is a mechanical tailwind if the story improves.

Honesty requires saying what we do **not** believe anymore: two of our original bull pillars (“tightest funding spreads in three years” and “+660 basis point loan vintages”) turned out to be sourced only from management's own statements — no independent venue publishes those numbers. The bull case

survives on the KBRA channel and the balance-sheet math, not on those claims. This is a fairly-paid-risk position with a possible edge on top, not a clean mispricing.

What the market believes

The market believes Upstart's borrowers are weakening and its self-reported numbers can't be trusted. The company's own macro index (its published gauge of borrower stress, upstart.com/umi) sits at 1.50 and ticked up 0.7% over the last month; management blamed a revenue-line miss on that same rising stress. The stock carries \$2.0B of convertible debt against \$456M cash — net debt roughly \$1.57B — so enterprise value is ~\$4.6B against a \$3.03B market cap, meaning the equity is a leveraged slice of the story. And roughly a third of the float is sold short by people actively pressing that view.

Part of the disagreement has already closed: the stock bounced +13.3% in the five sessions after the August 4 earnings (\$27.44 on July 31 → \$31.09 on August 7). Whatever “the quarter wasn't a disaster” was worth, several days of buying have collected some of it.

Why we might have edge

1. **The independent credit channel is under-read.** The KBRA 13-trust surveillance (7 upgrades / 14 affirms / 1 downgrade) is public but obscure; the red bench — actively hunting for kills — hadn't seen it. If professional skeptics inside our own process missed it, the marginal seller may have too.
2. **The bear's balance-sheet arithmetic double-counts.** Bears stack the \$2.0B of senior debt *on top of* the loans-to-equity ratio to claim amplified damage. But shareholders' equity already nets out that debt: a markdown on the \$1.06B loan book hits the \$797M equity at exactly 1.33×, not more. The scary version of the leverage story is a math error.
3. **The refinancing/dilution tail is dated and out of the money.** Nothing matures before October 2029; all conversion prices are far above the stock. The bears' own falsifier — “check the maturities and strikes” — resolves against them, and they never ran it.
4. **The short base is a spring.** 27% of shares short on a company that is GAAP-profitable and still placing loan-sale deals creates asymmetric upside on any confirmation.

Why it might be priced in

- **We're buying after a +13% bounce, not into the panic.** The dislocation entry was \$27.44 five sessions ago. Both benches concede this is timing-degraded — it caps size, and it's why the first tranche is only half.
- **The two headline bull facts are the company grading its own homework.** Until Finsight, Bloomberg, or a rating agency publishes actual execution spreads, “tightest in three years” is marketing, and the market may be right to discount it.
- **The borrower-stress gauge is genuinely worsening,** per the company's own index — and the latest reading can be revised $\pm 5\%$, so even a modestly better September print may prove

nothing.

- **A third of the float short means the bear case is well-researched and actively maintained**, not lazy consensus. Battlegrounds are priced tighter than they look.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Downside is 1.33× loans-to-equity” (our original brief)	Red bench pulled the full debt stack from quarterly balance sheet + note-pricing press releases	Our bull bench erred: brief omitted ~\$2.0B of convertible notes entirely (net debt \$1.57B, EV ≈ \$4.6B vs \$3.03B market cap)	Omission confirmed — brief corrected
“Damage transmits at <i>more than</i> 1.33×” (red’s counter)	Blue bench re-derived the accounting	Red bench erred: stacking senior debt on the equity cushion double-counts — equity already nets the debt; 1.33× is the number, not the floor	Red’s amplification refuted
“Tightest securitization spreads in 3 years; +66obps vintages” (our original brief)	Both benches searched KBRA, Finsight, press	Our bull bench erred: sole source is management’s own call; no independent venue publishes the spread	Provenance failure confirmed; claim demoted to “issuer-quoted”
Independent credit quality	Blue bench found KBRA Feb-2026 surveillance across 13 trusts	7 upgrades, 14 affirms, 1 downgrade (that one facing majority principal loss)	Confirmed — net-positive, with a real bad-vintage tail
Convert maturities/strikes (red’s own falsifier)	Blue bench read the Q2 10-Q + pricing PRs	No maturity before Oct-2029; strikes \$45.66–\$91.99, all 47–196% above \$31.09; 2026 residual (~\$66.6M) coverable ~7× by cash	Confirmed — red set this test and never ran it; it resolves against red
+13.3% bounce in 5 sessions”	Both benches re-fetched daily closes	\$27.44 (Jul-31) → \$31.09 (Aug-7); +7.25% on the Aug-3 volume/index day	Confirmed
Borrower-stress index 1.50, rising	upstart.com/umi direct	1.50 at Aug-3, +0.7% m/m, latest point revisable ±5%	Confirmed — revision band makes it a soft tripwire
Short interest ~27% of shares / ~33% of float	Fintel + Nasdaq/FINRA-sourced venues	25.8M shares short, consistent across 2026 dates	Confirmed
Bank-partner health (red flagged as unrunnable)	Blue bench found a call-report mirror	Cross River Bank: \$8.7B assets, ROA 0.55% (Q1’26) — channel runnable, but charge-off detail still missing	Partially — gap narrowed, not closed
July origination growth “deceleration” (+50% → +34% y/y)	Seasonality tool unavailable on both benches (no shell)	Cannot say whether July is a hard comp	Not confirmed — open gap
Tape price \$31.09	IBKR quote denied on red bench; verified via stockanalysis close	Matches pack exactly; no intraday-sensitive claim rests on it	Confirmed (with noted tooling caveat)

PROPOSED ENTRY BANDS

Both benches converge on the same shape (red: “half-starter at most”; blue: “starter in two tranches”), so the proposal is their overlap:

- **Tranche 1 — now:** Buy a **half-starter** near **\$31.09** (Aug-7 close). Do not chase materially above; the timing concession is real. A pullback toward **\$27.44** (the pre-bounce July 31 close — the entry red says we missed) upgrades Tranche 1 to a better-priced full first half.
- **Tranche 2 — gated, not dated:** Add the second half to reach a full starter **only** on either trigger:
 - the **September 3, 2026** monthly print shows the borrower-stress index at **≤1.45** (or two consecutive improving prints, given the ±5% revision band), **or**
 - an independent venue (Finsight / Bloomberg / a rating-agency report) **publishes actual execution spreads** for the 2026 loan-sale deals confirming the “three-year tights” claim.
- **Kill (full exit, not a trim):**
 - borrower-stress index **>1.50 on two consecutive monthly prints**, or
 - **August originations below \$45M/day** (September 3 volume print).
- **Sizing:** half-starter now; full starter only post-trigger. Nothing beyond starter size is authorized by either bench — this is fairly-paid risk with an edge overlay, and the two former headline bull facts remain issuer-quoted.
- **Catalyst dates: 2026-09-03** — monthly borrower-stress + volume print (decisive, near-term). **2026-11-03** — next earnings, but this date is derived from a data vendor and **unconfirmed** by any company press release; confirm before relying on it.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 27.44 (deck-provisional: pre-bounce Jul-31 close - the dislocation entry both benches say the +13% rally took away)
- filing watch: 8-K until 2027-02-05 (deck-provisional: earnings, new securitization pricings, and convert activity land in 8-Ks first)
- dated pack UPST|2026-09-03: UPST: monthly UMI + origination-volume print; add-gate UMI≤1.45, kill-gate UMI>1.50 x2 or Aug volume <\$45M/day (date confirmed=False)
- dated pack UPST|2026-11-03: UPST: next earnings per data vendor - UNCONFIRMED, needs company PR (date confirmed=False)

What remains unverified

- **Actual securitization execution spreads.** No independent source publishes them; “tightest in three years” and “+660bps vintages” remain management’s word. This is the single biggest open item, and the court minted a reusable detector from it (theses that dress issuer-quoted numbers as market-priced).
- **Whether July’s growth slowdown is real deceleration or a hard year-ago comparison.** The seasonality check failed to run on both benches — a pure tooling gap, still open.

- **Bank-partner charge-off detail.** We verified Cross River's size and profitability but not its loss rates; the full regulatory pull was never completed.
- **The November 3 earnings date** (vendor-derived, no company confirmation).
- **The next borrower-stress print's meaning** — with a $\pm 5\%$ revision band, one good print may be noise; the entry bands are built to respect that.

```
{
  "price_gates": [
    {
      "level": 27.44,
      "direction": "below",
      "basis": "pre-bounce Jul-31 close - the dislocation entry both benches say the +13% rally took away"
    }
  ],
  "event_gates": [
    {
      "forms": ["8-K"],
      "why": "earnings, new securitization pricings, and convert activity land in 8-Ks first"
    },
    {
      "forms": ["10-Q"],
      "why": "loan fair-value marks and convert-note disclosures - the tail math lives here"
    }
  ],
  "catalyst_dates": [
    {
      "date": "2026-09-03",
      "what": "monthly UMI + origination-volume print; add-gate UMI<=1.45, kill-gate UMI>1.50 x2 or Aug volume <$45M/day",
      "confirmed": false
    },
    {
      "date": "2026-11-03",
      "what": "next earnings per data vendor - UNCONFIRMED, needs company PR",
      "confirmed": false
    }
  ],
  "immediate_entry": {
    "action": "BUY",
    "approx_price": 31.09,
    "size_pct_of_book": 1.0,
    "basis": "half-starter tranche 1 (assumes 2% full-starter unit); both benches cap pre-Sep-3 size at half"
  }
}
```

Two process notes for the adjudicator: (1) this session was denied file read/write on `desk/reports/`, so the deck exists only in this message — the runner needs to persist it as `UPST_PITCH_DECK_20260809.md` and parse the fence to arm sensors; (2) the standing closing step (ledger upsert, edge classification, entry plan, scanner re-run, `/api/everything` verify) could not be executed here for the same reason — no shell access — and is explicitly outstanding, not silently skipped. The `size_pct_of_book: 1.0` in the fence assumes the house 2% full-starter unit; if the convention differs, scale it, since both benches specified “half-starter,” not a percentage.